FIR

Footwear Industry Report

12-Oct-2026

Industry 1
MAN4900_2917

Year 13

Year 13 Scoreboard

Rank	Company Name	Investor Expectation Score	Best-In-Industry Score	Weighted Average Score	Change from Y12
1	Dynasty Kicks	119	99	109	+1
2	Apex Athletics	116	75	96	+1
3	Fab Footwear	104	63	84	-12
3	Helix	105	63	84	-7
5	CBAM Footwear	84	54	69	-18
5	Glide Athletics	85	53	69	-19
7	BMKM Steps	78	50	64	-5
8	InStride	52	35	44	-7
9	E-Stride	42	30	36	-28

Game-To-Date Scoreboard

Rank	Company Name	Investor Expectation Score	Best-In-Industry Score	Weighted Average Score	Bonus Points	Overall G-T-D Score
1	Dynasty Kicks	118	99	109	3	112
2	Apex Athletics	115	73	94	2	96
3	Helix	111	69	90	1	91
4	Fab Footwear	104	63	84	1	85
5	Glide Athletics	94	59	77	1	78
6	CBAM Footwear	92	58	75	0	75
7	BMKM Steps	80	51	66	1	67
8	InStride	62	40	51	0	51
9	E-Stride	57	37	47	0	47

Investor Expectation Score (I.E.)
Investors and company boards of directors have established targets for the five scoring measures that appear on pages 2 and 3 of this report. The I.E. score ranges from 0 to 120 (if all targets are exceeded by 40% or more). Click the Help button (upper-right) for more information.

Best-In-Industry Score (B-I-I)
The B-I-I score measures each company's performance relative to the best performing company on each of the five scoring measure. The B-I-I score ranges from 0 to 100. To score 100 a company must be the best performing company in the industry on all five scoring measures.

Weighted Average Score
The weighted average score combines the Investor Expectation Score and the Best-In-Industry Score using a 50%-50% weighting as specified by the course instructor. Detailed explanations of scoring are provided in the Help documents asociated with pages 1, 2, and 3 of this report.


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Industry 1 | **SCORING MEASURES** | **Year 13**

Earnings Per Share

($ per share)

Earnings Per Share scores are based on a 20% (20-point) weighting. A bolded number indicates achievement of the investor expected EPS shown below each yearly column head. A highlighted number indicates best-in-industry performance. Game-To-Date EPS scores are based on a weighted average of the annual EPS performances.

	Y11 (2.50)	Y12 (3.00)	Y13 (3.50)	Y14 (4.00)	Y15 (4.50)	Y16 (5.25)	Y17 (6.00)	Y18 (7.00)	Y19 (8.50)	Y20 (10.00)	Wgt. Avg. (3.00)	Y13 Score I.E.	Y13 Score B-I-I	G-T-D Score I.E.	G-T-D Score B-I-I	
A	**3.12**	**4.17**	**4.67**								**3.97**	23	11	23	11	A
B	2.09	2.10	2.24								2.14	13	5	14	6	B
C	**2.79**	**3.61**	3.03								**3.14**	17	7	20	9	C
D	**5.97**	**6.74**	**8.69**								**7.13**	24	20	24	20	D
E	2.12	2.36	1.15								1.88	7	3	13	5	E
F	2.18	**3.96**	**4.07**								**3.40**	22	9	21	10	F
G	**3.02**	**3.58**	3.05								**3.22**	17	7	21	9	G
H	**5.36**	**3.90**	**4.06**								**4.44**	22	9	24	12	H
I	**2.96**	1.65	1.69								2.10	10	4	14	6	I

Return On Equity

(%)

Return On Equity scores are based on a 20% (20-point) weighting. A bolded number indicates achievement of the investor expected ROE shown below each yearly column head. A highlighted number indicates best-in-industry performance. Game-To-Date ROE scores are based on a weighted average of the annual ROE performances.

	Y11 (21.0)	Y12 (22.0)	Y13 (23.0)	Y14 (24.0)	Y15 (25.0)	Y16 (26.0)	Y17 (27.0)	Y18 (28.0)	Y19 (29.0)	Y20 (30.0)	Wgt. Avg. (22.0)	Y13 Score I.E.	Y13 Score B-I-I	G-T-D Score I.E.	G-T-D Score B-I-I	
A	**25.9**	**27.5**	**27.9**								**27.2**	22	17	22	15	A
B	18.1	16.9	17.6								17.5	15	11	16	10	B
C	**23.5**	**23.9**	16.4								20.8	14	10	19	11	C
D	**44.3**	**34.8**	**33.0**								**36.2**	24	20	24	20	D
E	19.2	19.1	8.3								15.1	7	5	14	8	E
F	19.8	**29.4**	**23.3**								**24.3**	20	14	21	13	F
G	**25.1**	**23.4**	16.9								21.3	15	10	19	12	G
H	**41.6**	**23.1**	20.3								**26.8**	18	12	22	15	H
I	**24.7**	11.5	10.6								14.9	9	6	14	8	I

Stock Price

($ per share)

Stock Price scores are based on a 20% (20-point) weighting. A bolded number indicates achievement of the investor expected stock price shown below each yearly column head. A highlighted number indicates best-in-industry performance. Game-To-Date scores are based solely on the most recent year's stock price.

	Y11 (40.00)	Y12 (50.00)	Y13 (65.00)	Y14 (80.00)	Y15 (100.00)	Y16 (125.00)	Y17 (150.00)	Y18 (180.00)	Y19 (215.00)	Y20 (250.00)	Y13 Score I.E.	Y13 Score B-I-I	G-T-D Score I.E.	G-T-D Score B-I-I	
A	**56.55**	**87.81**	**105.46**								24	9	24	9	A
B	16.84	36.91	25.49								8	2	8	2	B
C	38.02	**65.64**	32.39								10	3	10	3	C
D	**170.85**	**182.17**	**230.91**								24	20	24	20	D
E	23.01	17.31	7.53								2	1	2	1	E

	Y11 (40.00)	Y12 (50.00)	Y13 (65.00)	Y14 (80.00)	Y15 (100.00)	Y16 (125.00)	Y17 (150.00)	Y18 (180.00)	Y19 (215.00)	Y20 (250.00)
F	27.08	**87.47**	64.15							
G	**47.73**	**68.15**	32.21							
H	**144.76**	**76.51**	64.23							
I	35.92	14.23	11.01							

	Y13 Score		G-T-D Score		
	I.E.	B-I-I	I.E.	B-I-I	
F	20	6	20	6	**F**
G	10	3	10	3	**G**
H	20	6	20	6	**H**
I	3	1	3	1	**I**

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Industry 1

Scoring Measures
(concluded)

Year 13

Credit Rating

Credit Rating scores are based on a 20% (20-point) weighting. A bolded credit rating indicates achievement of the investor expected credit rating shown below each yearly column head. Game-To-Date credit rating scores are based solely on the most recent year's credit rating performance.

	Y11 (B+)	Y12 (B+)	Y13 (B+)	Y14 (A–)	Y15 (A–)	Y16 (A–)	Y17 (A)	Y18 (A)	Y19 (A)	Y20 (A)	Y13 Score I.E.	Y13 Score B-I-I	G-T-D Score I.E.	G-T-D Score B-I-I	
A	**A**	**A+**	**A+**								24	20	24	20	A
B	**A–**	**A–**	**A**								23	19	23	19	B
C	**A**	**A+**	**A+**								24	20	24	20	C
D	**A**	**A–**	**A**								23	19	23	19	D
E	**A–**	**A**	B–								12	11	12	11	E
F	**B+**	**A**	**B+**								20	16	20	16	F
G	**A**	**A+**	**A+**								24	20	24	20	G
H	**A**	**A+**	**A+**								24	20	24	20	H
I	**A**	B	B–								12	11	12	11	I

Image Rating

Image Rating scores are based on a 20% (20-point) weighting. A bolded number indicates achievement of the investor expected image rating shown below each yearly column head. A highlighted number indicates best-in-industry performance. Game-To-Date scores are based on an average of the most recent three years.

	Y11 (70)	Y12 (72)	Y13 (72)	Y14 (75)	Y15 (75)	Y16 (77)	Y17 (77)	Y18 (80)	Y19 (80)	Y20 (80)	Y11-Y13 Average	Y13 Score I.E.	Y13 Score B-I-I	G-T-D Score I.E.	G-T-D Score B-I-I	
A	**82**	**79**	**90**								84	23	18	22	18	A
B	63	68	67								66	19	13	19	14	B
C	**71**	66	69								69	19	14	19	15	C
D	**86**	**100**	**100**								95	24	20	23	20	D
E	64	55	51								57	14	10	16	12	E
F	**83**	**89**	**89**								87	22	18	22	18	F
G	**72**	**72**	67								70	19	13	20	15	G
H	**70**	**79**	**79**								76	21	16	21	16	H
I	65	66	66								66	18	13	19	14	I

Corporate Social Responsibility and Citizenship

	Industry 1 Cash Outlays for Corporate Social Responsibility and Citizenship						Image Rating Points Generated from CSRC Expenditures		
	Total Dollars ($000s)			Per Unit Sold ($/unit)					
	High	Average	Low	High	Average	Low	High	Average	Low
Year 11	17,210	10,040	0	2.40	1.22	0.00	5	3	0
Year 12	23,275	6,965	0	2.70	0.78	0.00	8	5	0
Year 13	7,717	4,428	0	0.85	0.46	0.00	11	7	0
Year 14									
Year 15									
Year 16									
Year 17									
Year 18									

Corporate Responsibility Award

for Exemplary Corporate Citizenship

Beginning in Year 14, the World Council for Exemplary Corporate Citizenship presents a distinguished award to the company making the highest cash outlays as a percentage of revenues for corporate social responsibility and citizenship initiatives.

	Award Winner	2nd Place
Y14		
Y15		
Y16		
Y17		

Year 19	**Y18**
Year 20	**Y19**
	Y20

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Industry 1 | **BONUS POINT AWARDS** | **Year 13**



BULL'S EYE AWARD

for Accurately Forecasting Total Revenues, Earnings Per Share, and Image Rating

One bonus point added to any company's game-to-date score when actual performance on Total Revenues AND Earnings Per Share vary by no more than 5% from projected performance AND when Image Rating varies by no more than 4 points from the projected image rating.

	Revenues (within ± 5%)			EPS (within ± 5% or ± 10¢)			Image Rating (within ± 4 points)			Year 13 Bull's Eye Award	Cumulative Awards	
	Year 13 Forecast	Year 13 Actual	Percent Variance	Year 13 Forecast	Year 13 Actual	Percent Variance	Year 13 Forecast	Year 13 Actual	Point Variance			
A	557,747	609,217	+9.2 %	4.16	4.67	+12.4 %	83	90	+7 pts.	No	1	**A**
B	648,838	584,901	-9.9 %	3.76	2.24	-40.4 %	73	67	-6 pts.	No	1	**B**
C	589,539	523,814	-11.1 %	4.47	3.03	-32.2 %	75	69	-6 pts.	No	0	**C**
D	1,225,951	1,225,314	-0.1 %	9.03	8.69	-3.8 %	100	100	0 pts.	Yes	2	**D**
E	413,156	407,621	-1.3 %	1.31	1.15	-12.3 %	52	51	-1 pts.	No	0	**E**
F	796,910	734,490	-7.8 %	5.23	4.07	-22.1 %	94	89	-5 pts.	No	0	**F**
G	581,138	504,747	-13.1 %	4.31	3.05	-29.3 %	72	67	-5 pts.	No	1	**G**
H	649,199	636,634	-1.9 %	4.41	4.06	-7.9 %	81	79	-2 pts.	No	1	**H**
I	686,758	553,905	-19.3 %	4.22	1.69	-59.9 %	78	66	-12 pts.	No	0	**I**

Trends in Variances Between Projected and Actual Performance

(company and industry variances between projected and actual revenues, EPS, and image rating)

		Year11	Year12	Year13	Year14	Year15	Year16	Year17	Year18	Year19	Year20
Industry 1 Variance	Largest	+13.6 %	+3.5 %	+10.0 %							
	Average	-4.2 %	-7.5 %	-10.7 %							
	Smallest	-20.6 %	-26.6 %	-31.5 %							
Company A Variance		+1.7 %	+3.3 %	+10.0 %							



LEAP FROG AWARD

for Most Improved Overall Score (current year to current year)

Beginning in Year 12, one bonus point is added to the game-to-date overall score of the company whose current-year overall score is most improved over the prior year. If all companies fail to improve their scores from one year to the next, then no Leap Frog bonus is awarded.

	Current-Year Scores and Net Changes																				Cumulative Awards	
	Y11 Score	Δ	Y12 Score	Δ	Y13 Score	Δ	Y14 Score	Δ	Y15 Score	Δ	Y16 Score	Δ	Y17 Score	Δ	Y18 Score	Δ	Y19 Score	Δ	Y20 Score			
A	90	+5	95	+1	96																1	**A**
B	66	+3	69	-5	64																0	**B**
C	82	+5	87	-18	69																0	**C**
D	108	0	108	+1	109																1	**D**
E	70	-6	64	-28	36																0	**E**
F	73	+23	96	-12	84																1	**F**
G	86	+2	88	-19	69																0	**G**
H	102	-11	91	-7	84																0	**H**
I	82	-31	51	-7	44																0	**I**

Δ = net change in score between years

Highlighted figure = Leap Frog Award winner

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Industry 1 | **INDUSTRY OVERVIEW** | **Year 13**

Materials Prices

	Standard	Superior
Base Prices of Materials ($ per pair)	$6.00	$12.00
Price Adjustments — Materials Usage	-0.30	+2.40
Price Adjustments — Facilities Utilization	0	0
Materials Prices in Year13 ($ per pair)	$5.70	$14.40

Notes

High industry-wide superior materials usage (50.0%) lead to superior materials prices that were 20.0% above the base and standard materials prices that were 5.0% below the base. Industry-wide utilization of production capability (104.9%) had no impact on materials prices.

Footwear Production and Sales

		North America	Europe Africa	Asia Pacific	Latin America	Average or Total	Notes
Superior Materials Usage		47%	0%	53%	32%	50%	⇐ % usage up 6.3 points from Year 12.
Utilization of Production Capability		103.8%	0.0%	105.7%	120.0%	104.9%	⇐ % usage down 6.8 points from Year 12.
Branded	Pairs Available (000s)	27,489	25,031	20,585	21,256	94,361	⇐ 16.1% higher than Year 13 demand.
Branded — Demand (000s of pairs)	Forecast	24,150	21,095	17,632	17,685	80,562	⇐ From page 4 of FIR for Year 12.
Branded — Demand (000s of pairs)	Actual	24,444	21,150	17,694	17,973	81,261	⇐ Actual branded demand was 0.9% higher than forecast branded demand due to increased competitive intensity.
	Pairs Sold (internet + wholesale)	24,442	21,148	17,695	17,973	81,258	
	Stockouts — No. of Companies	4	2	3	3		⇐ Extent to which orders for branded pairs went unfilled due to inventory shortages at one or more companies.
	Unfilled Orders (000s)	1	0	0	0	1	
Private Label — Demand Forecast (000s of pairs)		2,457	2,457	2,592	2,592	10,098	⇐ From page 4 of FIR for Year 12.
	Pairs Offered (000s)	3,016	1,441	2,846	1,464	8,767	⇐ Private-label pairs offered was lower than actual private-label demand by 13.2%.
	Pairs Sold (000s)	2,457	1,232	2,592	1,248	7,529	

Demand Forecast

		North America	Europe Africa	Asia Pacific	Latin America	Global Total
Branded Demand (internet + wholesale)	Year14	25,813	22,361	19,397	19,793	87,364
	Year15	27,362	23,708	21,340	21,775	94,185
	Year16	28,459	24,655	23,044	23,513	99,671
Private-Label Demand	Year14	2,727	2,727	2,925	2,925	11,304
	Year15	3,024	3,024	3,303	3,303	12,654
	Year16	3,294	3,294	3,663	3,663	13,914

Notes

Global demand for Y11-Y15 is expected to grow by 7%-9% annually, slowing to 5%-7% during Y16-Y20. The projected growth rates are not the same for all regions, as shown in the table on page 5 of the Player's Guide. Actual demand growth may vary from the forecast due to stronger or weaker competitive efforts on the part of rival companies.

Supply / Demand Analysis

Potential Footwear Supply in Year 14

Beginning Year 14 Inventory	13,103
Potential Y14 Production (with OT)	107,100
Potential Global Supply	120,203

Expected Footwear Demand in Year 14

Branded Demand Forecast	87,364
Private-Label Demand Forecast	11,304
Expected Global Demand	98,668

Analysis

Potential global supply (at max OT) in the upcoming year is 21.8% greater than projected global demand. This much excess potential supply is likely to significantly intensify competition until growth in demand enables use of most of the currently installed production capability industry-wide.

Facility Space

	Year13Facility Space (000s of pairs available for prod. equipment) N.A.	E-A	A-P	L.A.	Construction of New Space (initiated in Y13 and available in Y14) N.A.	E-A	A-P	L.A.	Total Space Available in Y14
A	5,000	0	6,000	0	0	0	0	0	11,000
B	5,000	0	6,000	0	0	0	0	0	11,000
C	5,000	0	6,000	0	0	0	0	0	11,000
D	8,000	0	9,000	0	1,000	0	1,000	0	19,000

Production Equipment

	Year13 Production Equipment (000s of pairs available for production) N.A.	E-A	A-P	L.A.	Total	
A	4,250	0	4,250	0	8,500	A
B	4,000	0	4,000	0	8,000	B
C	4,000	0	4,250	0	8,250	C
D	8,000	0	9,000	0	17,000	D

	Year13Facility Space (000s of pairs available for prod. equipment)				Construction of New Space (initiated in Y13 and available in Y14)				Total Space Available in Y14		Year13 Production Equipment (000s of pairs available for production)					
	N.A.	E-A	A-P	L.A.	N.A.	E-A	A-P	L.A.			N.A.	E-A	A-P	L.A.	Total	
E	5,000	0	6,000	0	0	0	0	0	11,000	**E**	5,000	0	5,000	0	10,000	**E**
F	6,000	0	7,000	0	0	0	0	0	13,000	**F**	5,500	0	6,000	0	11,500	**F**
G	5,000	0	6,000	2,000	0	1,000	0	0	14,000	**G**	5,000	0	4,000	1,000	10,000	**G**
H	5,000	0	6,000	0	0	0	0	2,000	13,000	**H**	4,000	0	4,000	0	8,000	**H**
I	9,000	0	10,000	0	0	0	0	0	19,000	**I**	4,000	0	4,000	0	8,000	**I**
	53,000	0	62,000	2,000	1,000	1,000	1,000	2,000	122,000		43,750	0	44,500	1,000	89,250	

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Industry 1 — **FINANCIAL PERFORMANCE SUMMARY** — **Year 13**

Income Statement Data

($000s)

	Net Sales Revenues				Cost of Pairs Sold	Warehouse Expenses	Marketing Expenses	Admin Expenses	Operating Profit	Interest Exp (Inc)	Income Taxes	Net Profit	
	Internet	Wholesale	P-label	Total									
A	141,628	421,851	44,981	609,217	291,647	52,026	120,155	17,065	128,324	3,963	37,308	87,053	A
B	140,120	444,781	0	584,901	274,218	44,834	178,166	18,466	69,217	6,227	18,897	44,093	B
C	133,123	342,404	43,103	523,814	285,060	45,220	85,936	17,215	90,383	3,924	25,938	60,521	C
D	326,287	817,180	81,847	1,225,314	614,881	94,140	221,071	27,466	267,756	23,321	73,331	171,104	D
E	81,320	291,987	34,314	407,621	237,758	38,805	71,359	17,465	42,234	9,587	9,794	22,853	E
F	145,964	581,434	7,092	734,490	404,386	60,773	122,887	21,964	124,480	9,356	34,537	80,587	F
G	119,649	346,084	39,014	504,747	250,083	43,697	95,906	22,212	92,849	6,082	25,770	60,129	G
H	159,481	449,037	28,116	636,634	327,401	52,775	118,152	18,462	119,844	4,955	33,777	78,814	H
I	152,396	381,380	0	553,905	272,418	50,593	152,914	18,465	59,515	11,164	14,505	33,846	I
	155,552	452,904	30,941	642,294	328,650	53,651	129,616	19,864	110,511	8,731	30,429	71,000	

Selected Balance Sheet Data

($000s)

	Assets				Liabilities			Shareholder Equity				
	Cash On Hand	Current Assets	Fixed Assets	Total Assets	Current Liabilities	Long-Term Loans	Total Liabilities	Beginning Equity	Stock Sale (Purchase)	Earnings Retained	Ending Equity	
A	49,188	171,536	214,492	386,028	32,492	49,500	81,992	320,472	-66,233	49,797	304,036	A
B	6,308	141,025	208,828	349,853	37,161	49,500	86,661	238,799	0	24,393	263,192	B
C	147,700	277,251	208,397	485,648	37,558	49,500	87,058	338,069	0	60,521	398,590	C
D	111,766	393,288	542,060	935,348	83,891	256,100	339,991	442,562	-18,309	171,104	595,357	D
E	31,221	130,687	226,720	357,407	22,139	49,500	71,639	262,915	0	22,853	285,768	E
F	0	231,941	292,144	524,085	57,380	80,248	137,628	305,870	0	80,587	386,457	F
G	0	182,894	292,626	475,520	55,698	49,509	105,207	342,064	-20,054	48,303	370,313	G
H	48,752	207,833	282,042	489,875	33,735	49,500	83,235	368,777	-31,236	69,099	406,640	H
I	0	189,111	321,652	510,763	88,173	86,500	174,673	302,244	0	33,846	336,090	I
	43,882	213,952	287,662	501,614	49,803	79,984	129,787	324,641	-15,092	62,278	371,827	

Selected Financial Statistics

	Profitability Measures			Dividend Data			Credit Rating Measures							
	Gross Profit Margin	Operating Profit Margin	Net Profit Margin	Div. Per Share ($/share)	Total Div. Payment ($000s)	Payout (percent of net profit)	Interest Coverage Ratio	Debt to Assets Ratio	Default Risk Ratio	Risk of Default	Current Ratio	Days of Inventory	Shares of Stock Outstanding (000s of shares)	
A	52.1%	21.1%	14.3%	2.00	37,256	42.8%	32.38	0.21	10.95	Low	5.28	8 days	18,628	A
B	53.1%	11.8%	7.5%	1.00	19,700	44.6%	11.12	0.25	4.07	Low	3.79	30 days	19,700	B
C	45.6%	17.3%	11.6%	0.00	0	0.0%	23.03	0.18	5.09	Low	7.38	53 days	20,000	C
D	49.8%	21.9%	14.0%	0.00	0	0.0%	11.48	0.36	5.04	Low	4.69	38 days	19,700	D
E	41.7%	10.4%	5.6%	0.00	0	0.0%	4.41	0.20	0.75	High	5.90	29 days	19,800	E
F	44.9%	16.9%	11.0%	0.00	0	0.0%	13.30	0.26	2.63	Medium	4.04	75 days	19,800	F
G	50.5%	18.4%	11.9%	0.60	11,826	19.7%	15.27	0.22	5.32	Low	3.28	143 days	19,710	G
H	48.6%	18.8%	12.4%	0.50	9,715	12.3%	24.19	0.17	6.39	Low	6.16	47 days	19,430	H
I	50.8%	10.7%	6.1%	0.00	0	0.0%	5.33	0.34	1.37	High	2.14	133 days	20,000	I

Profitability Measures			Dividend Data			Credit Rating Measures						
Gross Profit Margin	Operating Profit Margin	Net Profit Margin	Div. Per Share ($/share)	Total Div. Payment ($000s)	Payout (percent of net profit)	Interest Coverage Ratio	Debt to Assets Ratio	Default Risk Ratio	Risk of Default	Current Ratio	Days of Inventory	Shares of Stock Outstanding (000s of shares)
48.8%	17.2%	11.1%	0.46	8,722	13.3%	15.61	0.24	4.62		4.74	62 days	19,641

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Industry 1 **PERFORMANCE BENCHMARKS** Year 13

Production Benchmarks

North America			Industry1 Low	Industry1 Average	Industry1 High	Company A
Percentage of New Production Equipment			80%	94%	100%	94%
Labor Statistics	Total Regular Compensation ($ / worker / year)		37,285	43,058	47,954	42,811
	Workforce Productivity (pairs / worker / year)		4,902	5,096	5,228	5,228
	Production Labor Cost ($ per pair after rejects)		8.21	8.73	9.85	8.65
	Supervisory Compensation ($ / supervisor / year)		61,206	62,314	67,492	61,206
Branded Production	Superior Materials Usage		32%	47%	64%	32%
	TQM/6-Sigma Spending	Current ($/pair produced)	0.75	2.80	4.50	2.40
		Cumulative ($000s)	14,588	35,754	65,122	36,669
	Total Production Cost ($ per pair produced)		25.37	29.68	31.69	25.37
	Reject Rate		1.9%	4.1%	7.7%	1.9%
Cost Per S/Q Star (total production cost per pair ÷ S/Q rating)			3.02	4.93	8.56	3.02

Europe-Africa			Industry1 Low	Industry1 Average	Industry1 High	Company A
Percentage of New Production Equipment						0%
Labor Statistics	Total Regular Compensation ($ / worker / year)					0
	Workforce Productivity (pairs / worker / year)					0
	Production Labor Cost ($ per pair after rejects)					0.00
	Supervisory Compensation ($ / supervisor / year)					0
Branded Production	Superior Materials Usage					0%
	TQM/6-Sigma Spending	Current ($/pair produced)				0.00
		Cumulative ($000s)				0
	Total Production Cost ($ per pair produced)					0.00
	Reject Rate					0.0%
Cost Per S/Q Star (total production cost per pair ÷ S/Q rating)						0.00

Asia-Pacific			Industry1 Low	Industry1 Average	Industry1 High	Company A
Percentage of New Production Equipment			0%	8%	56%	0%
Labor Statistics	Total Regular Compensation ($ / worker / year)		13,591	16,439	20,945	15,523
	Workforce Productivity (pairs / worker / year)		3,368	3,629	3,971	3,711
	Production Labor Cost ($ per pair after rejects)		4.13	4.68	5.92	4.39
	Supervisory Compensation ($ / supervisor / year)		25,503	25,907	28,122	25,503
Branded Production	Superior Materials Usage		34%	52%	64%	38%
	TQM/6-Sigma Spending	Current ($/pair produced)	0.44	2.74	4.50	2.00
		Cumulative ($000s)	13,217	37,438	71,371	38,679
	Total Production Cost ($ per pair produced)		20.31	26.03	31.76	20.31
	Reject Rate		2.5%	5.4%	10.9%	4.0%
Cost Per S/Q Star (total production cost per pair ÷ S/Q rating)			2.57	4.63	8.82	2.57

Latin America			Industry1 Low	Industry1 Average	Industry1 High	Company A
Percentage of New Production Equipment						0%
Labor Statistics	Total Regular Compensation ($ / worker / year)					0
	Workforce Productivity (pairs / worker / year)					0
	Production Labor Cost ($ per pair after rejects)					0.00
	Supervisory Compensation ($ / supervisor / year)					0
Branded	Superior Materials Usage					0%

Latin America			Industry1 Low	Industry1 Average	Industry1 High	Company A
Production	**TQM/6-Sigma Spending**	**Current** ($/pair produced)				0.00
		Cumulative ($000s)				0
	Total Production Cost ($ per pair produced)					0.00
	Reject Rate					0.0%
Cost Per S/Q Star (total production cost per pair ÷ S/Q rating)						0.00

Note: *To protect individual companies from having competitively sensitive data revealed to rival companies, only the industry averages are reported for regions with 2 or 3 production facilities. Industry low and high numbers are reported only for regions with 4 or more production facilities. No benchmark data is reported for regions with only 1 production facility.*

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Industry1

PERFORMANCE BENCHMARKS
(concluded)

Year 13

Branded Operating Benchmarks

North America	Industry1 Low	Industry1 Average	Industry1 High	Company A
Distribution and Warehouse Costs ($ per pair available for sale)	5.03	6.33	8.03	8.03
Cost of Branded Pairs Sold (production, freight, x-rate cost adjustment)	26.33	30.18	32.30	26.33
Internet Segment — **Marketing Expenses** ($ per pair sold)	14.68	24.87	43.40	17.73
Internet Segment — **Operating Profit** ($ per pair sold)	16.95	24.06	33.47	29.68
Internet Segment — **Operating Profit Margin**	16.3%	25.5%	34.0%	33.4%
Wholesale Segment — **Marketing Expenses** ($ per pair sold)	8.92	12.39	17.65	14.57
Wholesale Segment — **Operating Profit** ($ per pair sold)	10.12	14.19	18.52	15.05
Wholesale Segment — **Operating Profit Margin**	17.9%	22.4%	25.4%	24.3%

Europe-Africa	Industry1 Low	Industry1 Average	Industry1 High	Company A
Distribution and Warehouse Costs ($ per pair available for sale)	10.91	13.10	14.96	14.96
Cost of Branded Pairs Sold (production, freight, x-rate cost adjustment)	32.92	37.12	40.60	32.92
Internet Segment — **Marketing Expenses** ($ per pair sold)	14.00	23.97	50.52	14.00
Internet Segment — **Operating Profit** ($ per pair sold)	-1.83	16.95	27.64	27.64
Internet Segment — **Operating Profit Margin**	-1.8%	18.3%	30.8%	30.8%
Wholesale Segment — **Marketing Expenses** ($ per pair sold)	9.19	12.54	17.69	16.14
Wholesale Segment — **Operating Profit** ($ per pair sold)	-2.49	4.35	8.80	8.80
Wholesale Segment — **Operating Profit Margin**	-4.6%	7.0%	13.9%	13.7%

Asia-Pacific	Industry1 Low	Industry1 Average	Industry1 High	Company A
Distribution and Warehouse Costs ($ per pair available for sale)	5.31	6.86	10.44	10.44
Cost of Branded Pairs Sold (production, freight, x-rate cost adjustment)	25.69	27.48	29.00	26.78
Internet Segment — **Marketing Expenses** ($ per pair sold)	11.86	28.10	66.29	11.86
Internet Segment — **Operating Profit** ($ per pair sold)	-1.25	22.12	30.72	23.58
Internet Segment — **Operating Profit Margin**	-1.2%	24.2%	33.2%	30.5%
Wholesale Segment — **Marketing Expenses** ($ per pair sold)	8.47	12.67	22.18	11.44
Wholesale Segment — **Operating Profit** ($ per pair sold)	7.48	13.37	17.93	10.31
Wholesale Segment — **Operating Profit Margin**	11.9%	22.2%	29.0%	18.8%

Latin America	Industry1 Low	Industry1 Average	Industry1 High	Company A
Distribution and Warehouse Costs ($ per pair available for sale)	10.12	15.54	17.88	17.65
Cost of Branded Pairs Sold (production, freight, x-rate cost adjustment)	33.84	38.43	41.76	34.07
Internet Segment — **Marketing Expenses** ($ per pair sold)	13.71	25.87	52.39	13.71
Internet Segment — **Operating Profit** ($ per pair sold)	-0.31	17.36	34.55	34.55
Internet Segment — **Operating Profit Margin**	-0.3%	18.0%	35.4%	35.4%
Wholesale Segment — **Marketing Expenses** ($ per pair sold)	8.38	11.69	18.00	12.96
Wholesale Segment — **Operating Profit** ($ per pair sold)	-2.68	5.13	9.51	7.42
Wholesale Segment — **Operating Profit Margin**	-4.7%	8.2%	14.9%	12.2%

Private-Label Operating Benchmarks

	Industry 1 Low	Industry 1 Average	Industry 1 High	Company A

		Industry 1			Company
		Low	Average	High	A
North America	**Cost Per Pair Sold** (production, freight, tariffs, x-rates)	27.61	30.89	34.43	27.71
	Margin Over Direct Cost ($ per pair sold)	+2.57	+4.69	+9.87	+5.14
Europe-Africa	**Cost Per Pair Sold** (production, freight, tariffs, x-rates)	31.89	36.07	41.01	31.89
	Margin Over Direct Cost ($ per pair sold)	-4.32	+0.33	+2.76	+2.76
Asia-Pacific	**Cost Per Pair Sold** (production, freight, tariffs, x-rates)	23.64	29.10	36.03	23.64
	Margin Over Direct Cost ($ per pair sold)	+2.49	+6.37	+9.12	+9.12
Latin America	**Cost Per Pair Sold** (production, freight, tariffs, x-rates)	34.42	37.66	42.15	0.00
	Margin Over Direct Cost ($ per pair sold)	-3.98	+1.39	+4.57	0

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Industry 1 | **Celebrity Endorsements and Industry Trends** | **Year 13**

Celebrity Endorsements

Celebrity	Year14 Contract Holder	Most Recent Contract Offers (letter in parens indicates company that made offer) No. of Offers	Highest Offer	2nd Highest	3rd Highest
Lady HaHa	BMKM Steps	3	5,000 (B)	3,501 (A)	3,500 (I)
Billy Eyelash	Glide Athletics	2	10,500 (G)	7,250 (I)	0
Taylor Sluggish	Helix	3	10,403 (H)	9,001 (A)	8,600 (I)
Bronko Mars	InStride	1	32,500 (I)	0	0
Chef Curry	Dynasty Kicks	3	13,519 (H)	12,000 (D)	2,000 (I)
Jay XYZ	Dynasty Kicks	2	11,000 (D)	2,000 (I)	0
Skatelyn Park	Helix	3	13,519 (H)	10,000 (D)	8,501 (A)
Justin Timberflakes	Dynasty Kicks	5	15,000 (D)	11,500 (G)	10,403 (H)
Dak Quarterback	InStride	4	30,000 (I)	7,000 (G)	4,200 (E)
Samuelle Jackson	Dynasty Kicks	6	15,000 (I)	14,000 (D)	6,000 (G)
Kimmie Jimmel	InStride	1	2,000 (I)	0	0
Nunchuck Norris	Dynasty Kicks	1	12,000 (D)	0	0
Nick Shavan	E-Stride	3	22,000 (I)	3,800 (E)	500 (F)

Year 14 Consumer Appeal (sum of consumer appeal indexes for each company in the upcoming year)

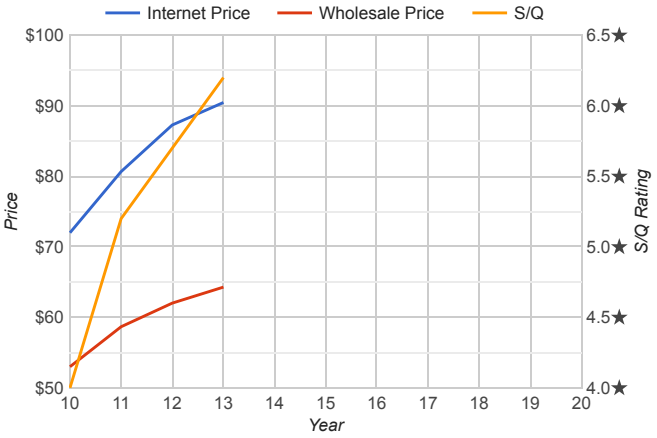
Co.	N.A.	E-A	A-P	L.A.
A	0	0	0	0
B	85	65	60	40
C	0	0	0	0
D	315	345	350	435
E	80	100	75	75
F	0	0	0	0
G	100	70	65	75
H	145	180	165	115
I	220	205	230	215
Avg.	105	107	105	106

Pricing and S/Q Rating Trends

North America



Europe-Africa



Asia-Pacific

Latin America


Internet Price
Wholesale Price
S/Q
$90
$80
6.5★
6.0★


Internet Price
Wholesale Price
S/Q
$90
$80
6.5★
6.0★